UR
Investing



Capital Power

Atlas Maze
Research Analyst | Defensive Portfolio
Utilities Coverage
ajm455@uregina.ca

Kelvin Hoang
Research Analyst | Defensive Portfolio
Utilities and Healthcare Coverage
tgh884@uregina.ca

Capital Power Corporation

UR Investing

Sector: Power & Utilities - Independent

Executive Summary

Our View: We believe CPX is well-positioned to deliver long-term shareholder value through a combination of portfolio optimization, recontracting, Alberta demand growth, and selective U.S. expansion. In our view, the company's gas-heavy asset base and focus on AFFO/share make it a credible growth story, while the recent share price pullback since November presents an attractive entry point for investors seeking exposure to its medium-term growth potential. That said, near-term uncertainty in Alberta and PJM remains an important risk to the thesis.

Summary of Our Thesis

Our Buy recommendation on Capital Power Corp. is supported by three key factors. First, CPX's balanced contracting philosophy provides stable and predictable cash flows through long-term agreements while preserving merchant exposure for upside from improving power prices. Second, the company's gas-heavy flexible generation fleet is well positioned to benefit from rising demand for reliable, dispatchable power in Alberta and U.S. merchant markets, supported by optimization, uprate, and recontracting opportunities across the existing asset base. Third, CPX offers an attractive combination of growth, income, and defensiveness, with a sustainable dividend supported by AFFO, embedded EBITDA upside, and visible medium-term AFFO growth potential.

How We Arrived at Our Price Target

We derive our 12-month price target of C$74.63 using a weighted blend of three valuation methodologies: Discounted Cash Flow (DCF), Sum-of-the-Parts (SOTP), and Dividend Discount Model (DDM). Our DCF captures CPX's long-term cash-generating ability through a 10-year forecast and a conservative terminal growth assumption, while our SOTP applies segment-specific EV/EBITDA multiples to reflect the differing risk, growth, and cash flow characteristics of CPX's Canadian and U.S. flexible generation and renewable assets. The DDM provides an additional check on value through the company's visible dividend profile and AFFO-backed payout capacity. Taken together, this blended approach reflects both CPX's stable contracted cash flows and its upside from optimization, recontracting, and merchant market exposure, resulting in a target price that implies approximately 21.9% upside from the March 20, 2026, closing price of C$61.20.

What Are the Risks to Our Buy Recommendation?

Key risks to our thesis include Alberta and U.S. merchant power prices remaining below our expectations for an extended period, which would reduce upside from CPX's merchant-exposed assets. In addition, adverse changes in PJM or broader power market design could weaken recontracting economics and reduce the value of CPX's flexible gas-fired fleet. Finally, execution risk related to acquisitions, optimization initiatives, and capital deployment could limit AFFO/share growth and reduce upside to our target price.

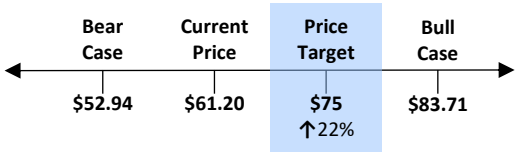
ESG Summary

Capital Power's ESG profile appears balanced overall, with governance representing a relative strength and environmental factors remaining the most material area of risk. While the company retains exposure to carbon-related and regulatory pressures through its thermal fleet, improving environmental trends and investment in lower-carbon solutions support our view that ESG is not a major impediment to the investment thesis.

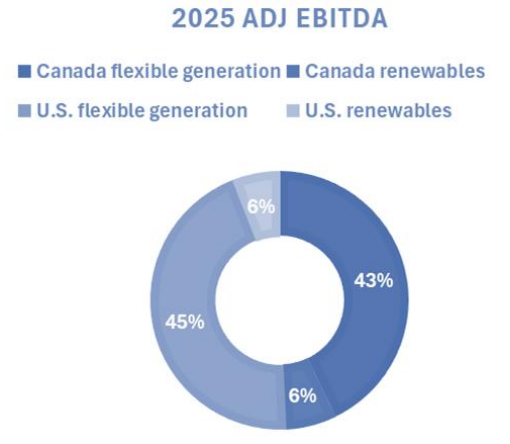
Buy
Price: $61.20 (03/23/2026)
Price Target: C$75.00 (+22.5%)
Implied Total Return: +27.0%
Valuation Method: DCF, SOTP, DDM

Key Data

Symbol	TSX: CPX
DPS:	C$2.77
Yield:	4.52%
Beta:	0.831
YTD Change:	6.39%
52-Week Range:	C$73.81-C$41.87
Market Cap (MM):	C$9,767.4
Net Debt (MM):	C$6,765.0
Dil. Shares Out (MM):	155.6
Enterprise Value (MM):	C$16,983.9

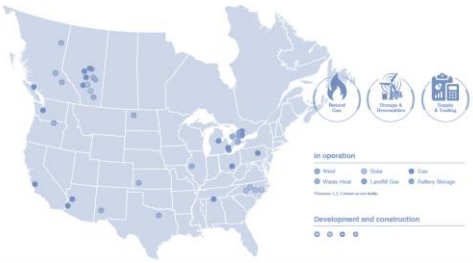






Company Overview

Capital Power Corporation (TSX: CPX) is a premier North American independent power producer based in Edmonton, Alberta, delivering reliable electricity through a diversified ~12 GW portfolio across natural gas, renewables, and battery storage facilities in key markets including Alberta, Ontario, British Columbia, PJM, and the U.S. Southwest/West Coast. The company focuses on flexible, dispatchable generation to support surging demand from electrification, AI data centers, and industrial growth, balancing a predominantly contracted revenue base (75% of adjusted EBITDA via long-term PPAs/tolling with investment-grade counterparties) with strategic merchant exposure for upside capture. Its four primary segments—Canada Flexible Generation, U.S. Flexible Generation, Canada Renewables, and U.S. Renewables—plus Corporate overhead, enable resilient operations backed by investment-grade ratings (BBB-/BBB low).



Canada Flexible Generation

This segment operates 4.4 GW (37% total capacity) of primarily natural gas-fired combined/simple cycle plants and BESS, including flagship Genesee (1,857 MW merchant post-2024 repower), Shepard (881 MW partial toll to 2035), and Ontario IESO-contracted Goreway (915 MW to 2035), York (231 MW peaker +120 MW BESS to 2035/2047), East Windsor (92 MW cogeneration +106 MW expansion to 2040). It generated 18.1 TWh in 2025 at 53% capacity factor and 92% availability, contributing $741M adjusted EBITDA (47% total).

Canada Renewables

Comprising 0.9 GW (8% total) of wind and solar, key facilities include Halkirk 1/2 (272 MW partial merchant/PPA to 2032/2045), Whitla (353 MW mixed contracts to 2039), and Strathmore/Clydesdale solar (116 MW to 2047/2037), yielding 2.7 TWh (35% capacity factor, 97% availability) and $111M adjusted EBITDA (7% total).

US Flexible Generation

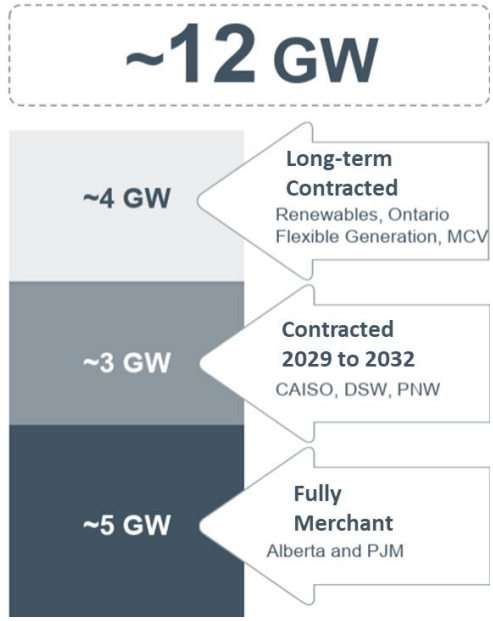
The largest segment at 6.2 GW (51% total), featuring efficient natural gas assets like Hummel Station (1,124 MW PJM merchant/capacity), Rolling Hills (1,023 MW Ohio merchant/capacity), MCV (817 MW PPA/steam to 2040), Arlington Valley (600 MW toll to 2038), and La Paloma (1,062 MW merchant/RA to 2029), produced 27.6 TWh (51% capacity factor, 92% availability) and $775M adjusted EBITDA (49% total).

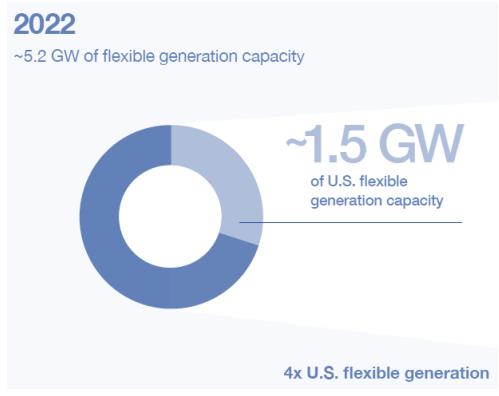
US Renewables

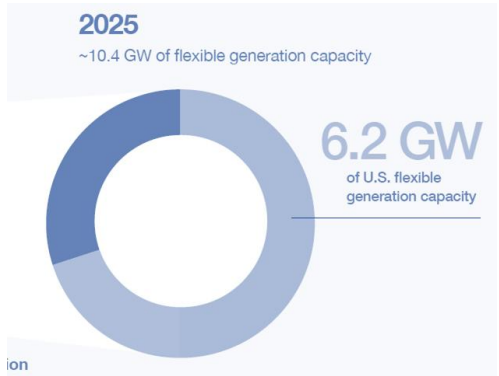
This smaller but expanding group features wind and solar assets with fixed-price contracts and PPAs, providing predictable cash flows amid variable output. Development pipelines in high-insulation regions like North Carolina position it for accretive growth aligned with U.S. clean energy incentives.

Corporate

Overhead functions including treasury, legal, and centralized trading support portfolio optimization, capital allocation, and risk management, with cost efficiencies from recent reorganizations, funding enterprise-wide initiatives like hedging and M&A execution.







Industry Analysis

CPX operates in the North American independent power producer (IPP) industry, where companies generate returns by owning and operating power assets that sell electricity through a mix of long-term contracts and merchant market exposure. Unlike regulated utilities, IPPs are more sensitive to wholesale power prices, fuel costs, capacity market conditions, and re-contracting opportunities. For CPX, the most relevant markets are Alberta and select U.S. regions, where earnings are driven by power prices, reliability needs, and contract structure. The industry backdrop is becoming more constructive as electricity demand rises, driven by electrification, reliability requirements, and growing data center load, which increases the value of efficient natural gas generation and existing power infrastructure. Within this environment, CPX is positioned to benefit from Alberta market exposure, U.S. re-contracting opportunities, and broader demand growth across North American power markets.

Constructive Market Conditions Support CPX's Growth Outlook

The industry backdrop for CPX is supported by several structural tailwinds, including rising electricity demand, increasing reliability needs, and tightening supply in key markets. Together, these factors support the long-term value of flexible generation assets and create meaningful opportunities for Capital Power to benefit from improving market fundamentals across Alberta and select U.S. regions.

Tailwinds

Rising electricity demand

Electricity demand across North America is increasing as electrification trends, industrial activity, and incremental commercial load create a growing need for new generation capacity. This should support long-term demand for both contracted and merchant power assets.

Data center and large-load growth

The expansion of data centers and other large-load customers is emerging as a meaningful source of incremental power demand, particularly in jurisdictions that require reliable and scalable supply. This trend is supportive for existing generation owners with available capacity and development expertise.

Increasing value of dispatchable gas-fired generation

As renewable penetration continues to rise, flexible and dispatchable gas-fired generation becomes increasingly important in balancing intermittent supply and maintaining grid reliability. This dynamic supports the long-term relevance of CPX's gas-fired fleet, particularly in markets where reliability is becoming more valuable.

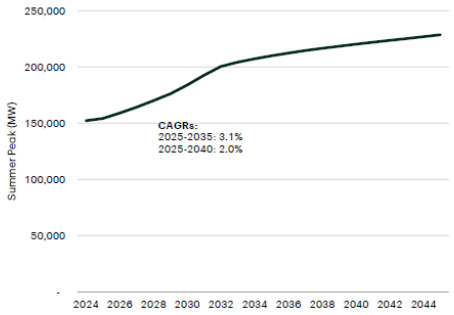
Tightening Alberta market fundamentals over time

While Alberta power prices remain weak in the near term, the market is expected to tighten over time as demand growth outpaces supply additions and older generation exits the system. A tighter supply-demand balance should improve merchant pricing and enhance earnings potential for assets exposed to Alberta.

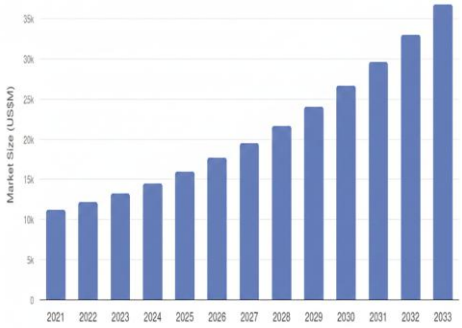
U.S. re-contracting upside

CPX also has opportunities to improve earnings visibility and cash flow quality through re-contracting in select U.S. markets. If contracts are renewed at attractive rates, the company could capture incremental upside while reducing exposure to earnings volatility.

PJM Summer Peak Load Forecast: 2025-2045



Canadian Data Centre Market, 2021-2033

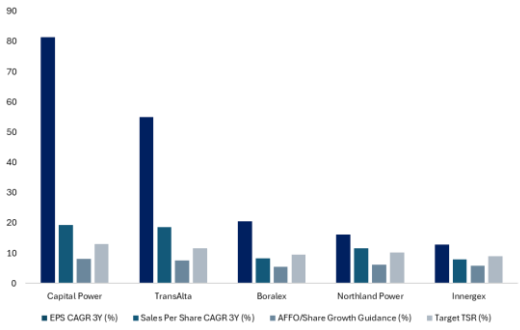


U.S. Data Centre Power Demand[2]

~100 GW
2025 - 2030

~17% CAGR
2025 - 2030

IPP Growth Metrics

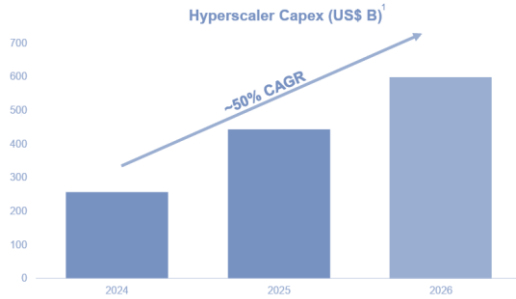


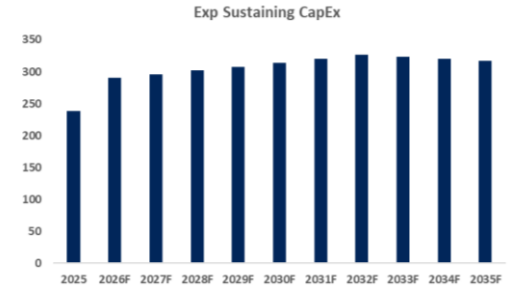
Industry Analysis

Key Headwinds Could Pressure Near-Term Performance

Despite these favorable long-term fundamentals, CPX continues to face several near-term risks that could affect earnings visibility and delay the realization of industry tailwinds. In Alberta, weak power prices and ongoing supply additions may continue to pressure merchant earnings until market conditions tighten more meaningfully. In addition, regulatory uncertainty and execution risk related to acquisitions, development, and re-contracting could weigh on returns if market or operating conditions evolve less favorably than expected.







Headwinds

Weak near-term Alberta power prices

Near-term pricing in Alberta remains pressured by softer market conditions and supply additions, which may weigh on merchant earnings until fundamentals improve. This creates a temporary headwind for near-term financial performance.

BYOG and regulatory uncertainty

Potential changes related to market design and bring-your-own-generation frameworks introduce uncertainty around future pricing, grid demand, and investment returns. Regulatory risk remains an important consideration given CPX's exposure to evolving electricity policy.

PJM market uncertainty

In U.S. markets, uncertainty around PJM pricing, capacity market outcomes, and regulatory developments may reduce visibility into future earnings. This could affect the value of recontracting opportunities and near-term sentiment toward U.S. assets.

Funding and dilution risk

CPX's growth strategy may require meaningful capital to fund acquisitions, development projects, and portfolio optimization. If financed externally, this could increase leverage or create dilution risk for existing shareholders.

Execution risk on M&A and recontracting

The company's strategy depends partly on its ability to execute acquisitions, integrate assets, and secure favorable recontracting outcomes. Delays, weaker-than-expected contract terms, or integration challenges could reduce the expected benefit of these initiatives.

Key Takeaways

Tailwinds

- Rising electricity demand across North America continues to support the need for new generation capacity.
- Data center and large-load growth are becoming an increasingly important source of incremental power demand.
- Tightening Alberta market fundamentals and U.S. recontracting opportunities support medium-term upside potential.

Headwinds

- Weak near-term Alberta power prices may continue to pressure merchant earnings until market conditions improve.
- Regulatory uncertainty, including potential market design changes, may affect pricing visibility and investment returns.
- Funding requirements and execution risk related to growth initiatives could limit near-term upside realization.

Overall

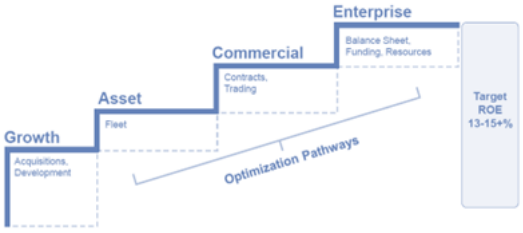
The industry environment appears supportive for CPX, with medium-term opportunities outweighing near-term pressures. While market conditions may remain uneven in the short run, the company's positioning and portfolio flexibility leave it well placed to capture upside as fundamentals improve.

Competitive Positioning

Asset Efficiency Versus The Industry

CPX holds a distinct competitive edge in asset efficiency, with its repowered Genesee 1 & 2 units and other plants converted to highly efficient natural gas operations that rank among Canada's lowest-emission and lowest-fuel-cost facilities. These modernized assets deliver lower carbon costs per MWh compared to older, dirtier coal or less efficient gas plants, making them increasingly attractive to customers seeking cost-competitive power contracts under rising environmental regulations. From the adjacent analysis, at a carbon price of $95/T and $3/MMBtu gas, Genesee operates ~$30/MWh cheaper overall; this advantage expands to $36/MWh at $130/T carbon (holding gas prices steady and factoring 2028 rules), amplifying CPX's margin resilience and dispatch priority as carbon pricing escalates, thereby strengthening its positioning against higher-cost industry peers.

	Unit type		
	Genesee 1+2 (CCGT)	Coal-To-Gas	G1+2 Cost
Heat Rate (GJ/ MWh)	6.65	10.5	Advantage vs
Emissions (CO2e/MWh)	0.36	0.52	Coal-To-Gas
Variable Costs ($/MWh)			
Natural Gas	$19.95	$31.50	$11.55
Carbon	$1.16	$16.36	$15.20
O&M	$4.15	$7.65	$3.50
Total	$25.26	$55.51	$30.25



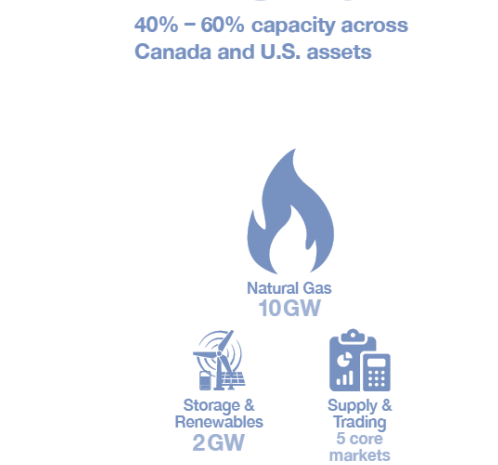
Data-center and AI demand optionality, with disciplined AFFO/share focus

CPX is consistently labelled as one of the few Canadian IPPs directly positioned to supply firm power to AI-driven data-center load in both Alberta and PJM, but with downside protection. The company already has a binding 250 MW ESA MOU with an investment-grade Alberta data-center developer (plus a 250 MW term sheet at MCV) and estimates ~25 GW of total opportunity (8 GW optimization, 17 GW M&A/greenfield), yet still frames its plan around 8–10% AFFO/share growth and 2–4% dividend growth at a 30–50% payout, rather than chasing volume for its own sake. This combination of real optionality on hyperscale/data-center build-out, tight capital discipline, and AFFO/share as the primary scorecard is something investors see as differentiated versus both Canadian renewables IPPs and pure-play U.S. merchants.



U.S. Gas-Fired Growth and Diversification

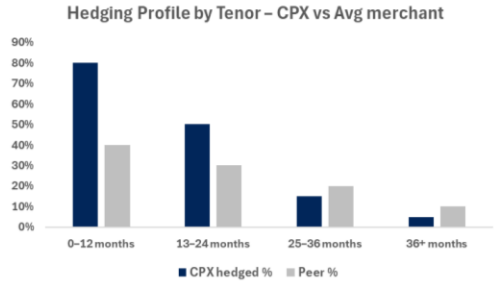
CPX has aggressively tilted its portfolio toward the high-growth U.S. market, elevating U.S. flexible gas exposure to ~60% of its ~12 GW capacity (up from 30% in 2022), with 88% of the overall fleet in dispatchable natural gas that thrives on data center demand and renewable intermittency, unlike Canadian peers mired in renewables-heavy or domestic-only mixes. Key 2025 acquisitions like Hummel Station (1,124 MW combined cycle, Pennsylvania) and Rolling Hills (1,023 MW combustion turbine, Ohio) cemented entry into the lucrative PJM market, where both facilities cleared capacity auctions at cap levels ($329–333/MW-day for 2026/27–2027/28), tapping Marcellus shale gas discounts (Leidy/TETCO hubs) for cost edges. This ~7 GW U.S. flex gen bloc (including La Paloma 1,062 MW CAISO, Harquahala 1,092 MW, Arlington Valley 600 MW, etc.) drove 60% of adjusted EBITDA in 2025 ($878 million of $1,580 million total), with merchant energy/ancillaries plus capacity payments yielding realized power prices like $43/MWh PJM.



CPX maintains an investment-grade discipline by keeping >60% contracted (tolling, PPAs, resource adequacy to 2038+), minimizing merchant beta while capturing U.S. upside, e.g., Arlington Valley's summer tolling extension to 2038 adds ~US$70 million annual EBITDA by 2032 post-35 MW uprate. Amid peers' caution on U.S. wholesale risks (congestion, FERC rules), CPX's scale in PJM/MISO/WECC, low-fuel access, and Apollo MOU (US$3 billion equity for natural gas buys) position it to outpace Canada-only growth, with U.S. flex gen offsetting Alberta/Ontario merchant volatility for superior risk-adjusted returns.

Balanced Hedging Strategy

CPX employs a disciplined, balanced hedging strategy that mitigates merchant exposure while preserving upside, enabling reliable cash flows to fund U.S. growth and 12 consecutive years of dividend increases (6% CAGR). As a merchant generator, CPX hedges 70–90% of power/gas volumes for the next 12 months, tapering to 40–60% in year 2 and under 20% beyond (per Q4 2025), a prudent approach that avoids over-hedging long-dated volumes where uncertainty is highest, and price spikes could erode returns. This contrasts with pure-play merchant peers exposed to volatile equity swings; CPX's taper, paired with an active trading desk that optimizes output from six key facilities, delivers volatility-adjusted returns superior to unhedged beta. Investment-grade counterparties across five liquid markets (Alberta, Ontario, PJM, MISO, WECC) further minimize credit risk, ensuring hedge efficacy supports both growth capex and shareholder distributions.

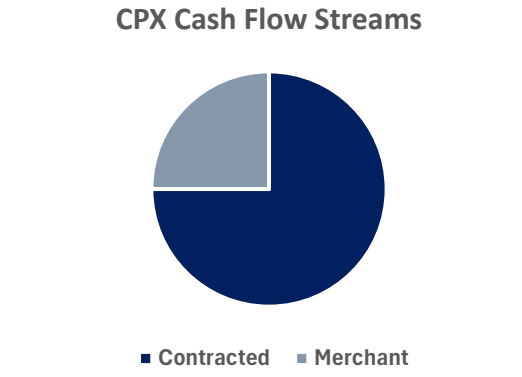


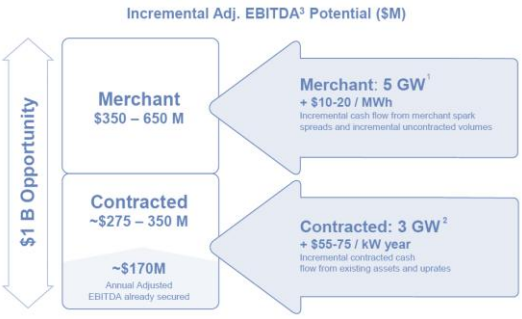
Investment Thesis

Thesis #1: Balanced Contracting Philosophy: Predictable Cash Flows with Merchant Upside

CPX adheres to a disciplined contracting philosophy that prioritizes highly predictable revenue streams and superior risk-adjusted returns for investors, while strategically preserving merchant exposure to capture significant upside from power price appreciation. Approximately 75% of its adjusted EBITDA is underpinned by long-term contracts with investment-grade counterparties, such as 90% A-rated power purchase agreement (PPA) providers, delivering stable cash flows through extended tenors that extend well into the 2030s and 2040s. Examples include the Midland Cogeneration Venture (MCV), where a recently extended PPA through 2040 secures 1,240 MW (75% of capacity) with Consumers Energy, generating an estimated US$140M incremental annual EBITDA (85% uplift over prior pricing); Arlington Valley's tolling agreement was extended to 2038. These structures provide downside protection via fixed capacity payments and tolling, even as Alberta power prices averaged $31/MWh YTD 2026 (vs. $41 prior year).

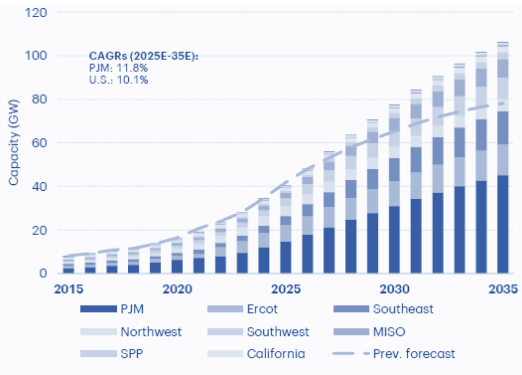
Complementing this stability, CPX maintains a balanced ~25% merchant profile across high-upside assets like Genesee (1,857 MW, Alberta merchant), Hummel Station (1,124 MW PJM merchant + capacity payments), and Rolling Hills (1,023 MW Ohio merchant + capacity), enabling participation in spark spread expansion (e.g., $350-650M potential from 10-20 $/MWh uplift at 85% capacity factor). Robust hedging mitigates volatility: As of December 31, 2025, ~1.4 GW Alberta power hedged (low-70s $/MWh average) and 1.1 GW PJM (high-40s USD/MWh), with natural gas hedges at ~$4/GJ AECO and $3-4/MMBtu Henry Hub/PJM hubs, which is well above forward curves to ensure earnings resilience in unfavourable environments.





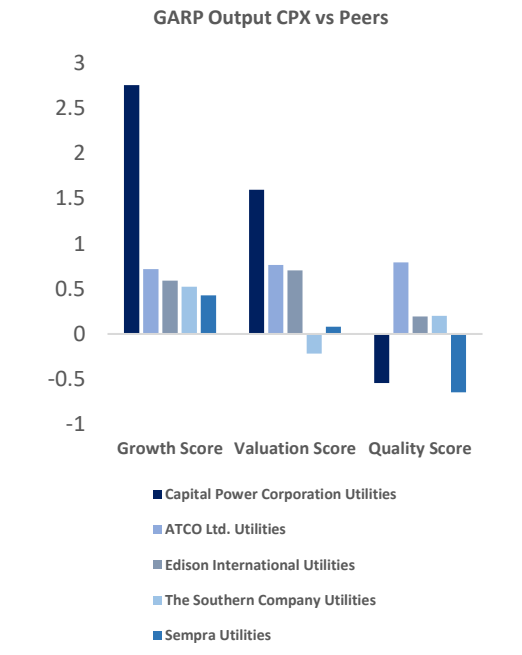
Thesis #2: CPX's Gas-Heavy Flexible Generation Fleet Is Strategically Positioned To Benefit From Rising Demand For Reliable, Dispatchable Power

CPX's gas-heavy flexible generation fleet is well-positioned to benefit from a power market that is increasingly prioritizing reliability, flexibility, and firm capacity. As electricity demand rises, particularly from large industrial loads and data-centre development, power systems are placing greater value on assets that can respond quickly to changes in demand and support grid stability. In this context, CPX's portfolio stands out because its flexible gas-fired assets can provide dispatchable generation in both Alberta and U.S. merchant markets, where capacity tightness and load growth are improving the outlook for reliable power producers. This optionality is amplified by ongoing optimization, uprate, and recontracting opportunities on existing plants, allowing CPX to expand earnings and capacity payments from its current fleet rather than relying exclusively on greenfield builds. As a result, the company's asset mix is tightly aligned with a North American power market that is increasingly rewarding dependable, dispatchable generation over inflexible or purely energy-only resources.



Thesis #3: CPX's Business Nature Satisfies Multiple Criteria Of The Defensive Portfolio And UR Investing

CPX emerges as the premier GARP candidate from the Quantitative team's proprietary screener across the S&P 500 and S&P/TSX 60 universe, ranking #1 in the Utilities group, blending strong growth, attractive valuation, and quality metrics despite a moderate Quality Score (-0.54). This rare alignment positions CPX within the UR Investing GARP style, uncommon for Canadian equities, while satisfying Defensive Portfolio criteria through 122+ years of consistent dividend increases at a compelling 4.5% yield that provides downside protection in downturns. Although the EPS payout ratio appears elevated (~83-92%), dividends consume only 30-50% of AFFO, a superior cash flow metric for utilities—ensuring sustainable shareholder returns amid $1B embedded EBITDA upside and 8-10% AFFO CAGR guidance through 2030.



Financial Analysis

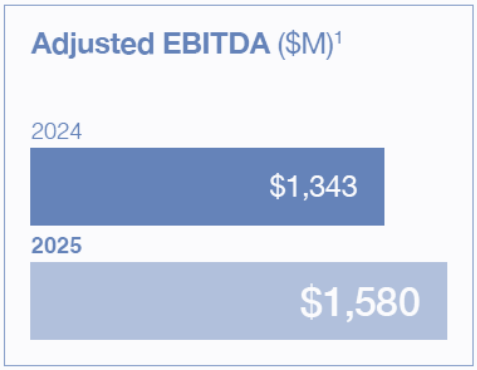
Revenue

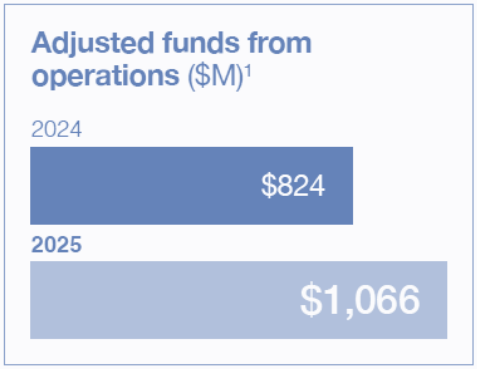
CPX's revenue effectively flat-lined in 2025 at about $3,776M versus $3,720M in 2024, as weak Alberta power prices (forward pool roughly $48–60/MWh) erased much of the uplift from recent U.S. acquisitions. U.S. flexible generation, including the PJM entry via Hummel and Rolling Hills (2.2 GW), added roughly $265M of incremental revenue potential and helped offset the drag from Alberta, where ~60% of CPX's capacity was exposed to trough merchant pricing. Gross margin nevertheless compressed 19% to $1,619M, pressured by higher fuel costs and a $342M unrealized loss on derivatives versus a gain in 2024, though management characterizes this margin squeeze as cyclical and points to 2026 guidance, which leans on recontracting and portfolio optimization, as evidence of an expected revenue and margin recovery.



AFFO and Adjusted EBITDA

CPX leverages AFFO and adjusted EBITDA to reveal its true operating strength, stripping out $342 million in 2025 unrealized derivative losses that distorted net income down to $160 million. Adjusted EBITDA surged 19% to $1,580 million (from $1,333 million), powered by U.S. assets (now ~60% contribution) and Genesee repowering gains, while AFFO jumped 29% to $1,066 million ($7.08/share vs. $6.38), beating guidance and funding the 12th straight dividend hike (2–4% CAGR target) alongside $500 million+ growth capex. At ~42% EBITDA margins, industry-leading for merchant-hybrid models with flex gen comprising 52% of 45TWh output, and AFFO payout under 27%, CPX sustains expansion without leverage strain (vs. peers like Atco at ~35%); 2026 guidance of $1,565–1,765 million EBITDA and $890–1,010 million AFFO assumes +40% outages but higher U.S. dispatch, signalling resilience.





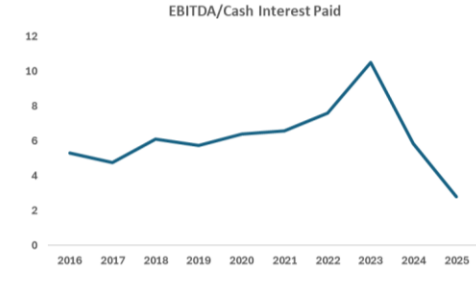
Cash Flow

CPX's 2025 cash flows reveal a classic growth-at-scale dynamic: robust operating cash flow of $962 million easily covered dividends ($338 million, ~3x) and sustaining capex, affirming dividend safety and operational leverage from U.S. flexible gen acquisitions like Hummel/Rolling Hills. However, free cash flow remained critically thin at just $58 million after $864 million total capex and blockbuster $2,971 million M&A spend, forcing $2.1 billion in debt/equity inflows that ballooned net debt to $6.7 billion (LTD/EBITDA ~4.2x). This FCF squeeze signals execution risk; new assets must deliver contracted EBITDA ($1,580 million, +18% YoY) to deleverage and unlock material shareholder returns beyond yield, as ongoing renewables buildout (Hornet, Halkirk 2) will likely suppress FCF further in the short term.

Debt and Preferred Shares

CPX exhibits a robust yet leveraged capital structure as of December 31, 2025, with total loans and borrowings of $6,730 million, a 35% increase from $4,976 million in 2024, primarily driven by strategic issuances including $1.7 billion (US$1.2 billion) senior notes and $600 million 4.23% medium-term notes maturing 2033 to fund U.S. expansions like Hummel Station, Rolling Hills, and a 3.5 GW development pipeline. This debt growth is sustainable, supported by strong cash flow coverage. 2025 Adjusted EBITDA $1.58B yielded net debt/EBITDA of 3.8-4.0x within utility targets of 3.5-4.5x; AFFO $1.07B provided 2x+ interest/debt service CPX debt is also supported by over 50% contracted 8 GW fleet (Arlington Valley extended to 2038), disciplined refinancing with staggered maturities at ~5% average cost, and affirmed investment-grade ratings reflecting FCF/debt >15% and an 80/20 gas/renewable CapEx mix targeting <4x leverage.





Preferred shares remain stable at approximately $453 million across Series 1, 3, and 5, with Series 11 redeemed in 2024; dividends paid totaled $27 million in 2025. Net debt stands at $6,773 million after subtracting $119 million in cash, yielding a net debt-to-EBITDA ratio around 4.3x, balanced by $2.7 billion in available credit facilities (including $1.8 billion liquidity).

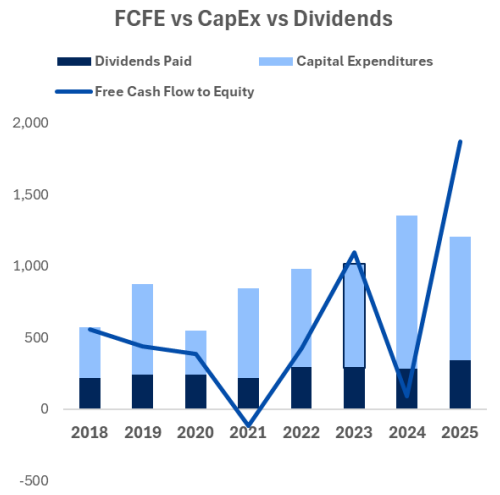
Financial Analysis Continued

Dividends

CPX's dividend policy targets a 30-50% payout of AFFO, delivering a 6% increase in 2025 to $2.6858 per common share amid $1,066 million AFFO (7.08/share), up from $824 million (6.38/share) in 2024. Preferred dividends were steady: Series 1 at $0.6553/share, Series 3 at $1.7151/share, and Series 5 at $1.6577/share, totaling $27 million paid. The 2026 outlook projects 2% common dividend growth within guidance of AFFO $890-1,010 million, supported by optimizations like MCV re-contracting (adding ~US$100 million annual EBITDA) and data center MOUs. Long-term guidance remains 2-4% annual increases, backed by 13-15% TSR targets through U.S. growth and 8-10% AFFO/share CAGR to 2030.

Capital Expenditures

CPX's 2025 capital expenditures totaled $710 million (growth $525 million, sustaining $185 million), below prior guidance, with purchases of property/equipment net at $864 million. Key growth investments included Ontario projects ($174 million, e.g., York/Goreway BESS commissioned Q3), renewables like Hornet Solar ($136 million), and Halkirk 2 Wind ($25 million, operational Q4). 2026 guidance forecasts $710 million total ($364-450 million growth, $290-330 million sustaining), focused on East Windsor Expansion, Bear Branch/Maple Leaf Solar, and commercial initiatives; full project totals span $1.6 billion from Genesee Repower to $333 million from Halkirk. This supports 3.5 GW U.S. capacity addition by 2030 via optimizations (8 GW pipeline) and M&A (17 GW).



Valuation

Overview

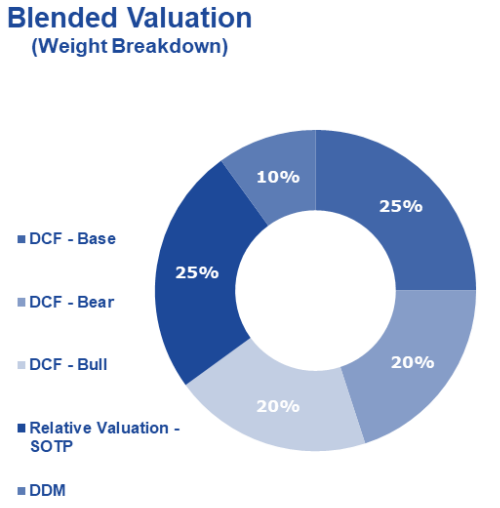
We employ 3 distinct valuation methods, along with scenario and sensitivity analyses, to derive CPX's intrinsic value. The methods used are the Discounted Cash Flow model, the Sum-of-the-Parts valuation of each operating segment using segment comparables, and the Dividend Discount Model. We derived a 12-month target price of $74.63, representing a 21.9% upside from CPX's closing price of $61.20 on March 20, 2026.

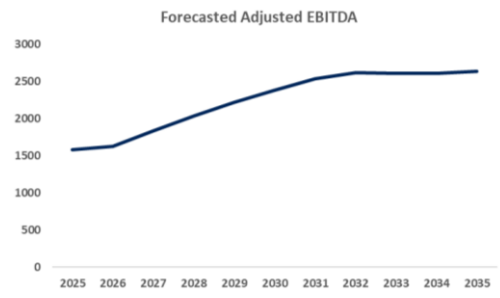
Adjusted EBITDA Projection

Our Adjusted EBITDA projections for CPX begin with segment-level baselines derived from the company's 2025 10k and Q4 earnings materials, reflecting reported contributions: Canada Flexible Generation ($741M), U.S. Flexible Generation ($775M), Canada Renewables ($111M), U.S. Renewables ($103M), and Corporate ($150M), totaling $1,580M. Growth assumptions are calibrated to facility types and management's reiterated 2026 guidance ($1,565-1,765M total), incorporating significant events like the Hummel/Rolling Hills acquisition (full-year impact), MCV recontracting (US$100M incremental EBITDA to 2040), and Arlington Valley extension (US$70M uplift by 2032 with 35 MW uprate). For merchant exposure, primarily Alberta (Genesee, Shepard) and PJM (Hummel, Rolling Hills), we assume stable-to-rising AECO gas prices with widening spark spreads (10-20 $/MWh upside potential at 85% capacity factor, $350-650M total opportunity), though we exclude the Apollo MOU's US$3B partnership pending firm commitments. Contracted revenues, which account for 75% of EBITDA via IESO PPAs to 2035-2047, tolling to 2038-2040, incorporate recontracting for near-term expiries (e.g., 2026-2031: Island Generation, Kingsbridge), capturing management's track record of superior terms (e.g., MCV 85% pricing uplift) and ~$275-350M incremental EBITDA from 3 GW U.S./Ontario assets, ensuring predictable cash flows aligned with 8-10% AFFO/share CAGR targets.

10-Year Discounted Cash Flows

CPX was valued using a discounted cash flow (DCF) analysis with a 10-year forecast horizon, reflecting the long-term, stable cash-flow characteristics inherent to utility and power-generation businesses. The terminal value was derived exclusively via the perpetuity growth method, assuming a conservative 0.5% perpetual growth rate to emphasize the company's fundamental free cash flow generation capacity and deliberately avoiding an exit multiple approach to preserve flexibility for subsequent relative valuation and sum-of-the-parts (SOTP) analysis by segment. Unlike conventional DCF frameworks that typically-





Valuation Continued

begin at EBIAT, our model initiates from segment-level Adjusted EBITDA projections (aligned with management's 2026 guidance of $1,565-1,765M), bridges to reported net income via depreciation, finance costs, and taxes, then adjusts for non-cash items, working capital, and sustaining CapEx to derive Funds From Operations (FFO), ensuring fidelity to CPX's non-GAAP AFFO construct. Noncontrolling interests (e.g., MCV 50% WI) and preferred shares (~$453M) were explicitly deducted at the enterprise-to-equity stage, yielding a common equity intrinsic value of $77 for the base-case perpetuity method.

WACC

The Weighted Average Cost of Capital (WACC) for CPX was derived by integrating the cost of equity, after-tax cost of debt, and cost of preferred shares, weighted by their respective capital structure proportions. The cost of equity was calculated using the Capital Asset Pricing Model (CAPM) with a risk-free rate of 3.56%, a market risk premium of 8.22%, and an adjusted levered beta of 0.88, yielding 10.79%. For the cost of debt, we computed a blended rate from short-term and long-term debt weights within CPX's total debt stack (~$6.8B), applying a 27% historical effective tax rate to arrive at an after-tax cost of 3.42%. Preferred equity costs were determined by yield-weighting CPX's three active series (Series 1, 3, and 5; ~$453M liquidation value), reflecting current market pricing and dividends. The resulting WACC of 7.56%, which is in the midpoint of utility peer range (7-8%) and balances CPX's investment-grade profile (BBB-/BBB low) with sector volatility; sensitivities from 7.0-8.0% bracket.

Sensitivity Analysis

WACC \ Terminal Growth Rate	$77.01	-0.75%	-0.50%	-0.25%	0.00%	0.25%	0.50%	0.75%	1.00%	1.25%	1.50%	1.75%
	6.31%	87.82	90.62	93.64	96.89	100.42	104.24	108.41	112.98	117.99	123.52	129.67
	6.56%	83.00	85.56	88.31	91.26	94.45	97.90	101.64	105.73	110.20	115.10	120.52
	6.81%	78.51	80.85	83.35	86.04	88.93	92.05	95.43	99.10	103.10	107.47	112.28
	7.06%	74.31	76.45	78.74	81.19	83.82	86.66	89.71	93.02	96.61	100.53	104.81
	7.31%	70.37	72.34	74.44	76.68	79.08	81.65	84.43	87.42	90.66	94.18	98.01
	7.56%	66.67	68.48	70.41	72.46	74.66	**77.01**	79.53	82.25	85.18	88.35	91.79
	7.81%	63.18	64.85	66.63	68.52	70.53	72.68	74.98	77.45	80.11	82.98	86.09
	8.06%	59.90	61.44	63.08	64.82	66.66	68.64	70.74	73.00	75.42	78.02	80.83
	8.31%	56.80	58.23	59.74	61.34	63.04	64.85	66.78	68.84	71.05	73.42	75.97
	8.56%	53.86	55.19	56.59	58.07	59.64	61.30	63.08	64.97	66.99	69.15	71.47
	8.81%	51.08	52.31	53.61	54.98	56.43	57.97	59.60	61.34	63.19	65.17	67.29

Terminal Growth Rate

We used a conservative 0.5% terminal growth rate given the company's profile as an independent power producer with merchant exposure and the prevailing economic backdrop in the U.S. and Canada. With a full 10-year explicit forecast period already capturing high single-digit AFFO growth from U.S. gas expansions, data center optionality, and optimization projects like capacity uprates, the terminal rate appropriately normalizes to a steady-state level that reflects long-run real GDP growth plus minimal inflation for a mature, capital-intensive utility, avoiding the error of assuming perpetual high growth beyond visible catalysts. Current macro conditions further justify this: Bank of Canada and Fed outlooks point to a decelerating trend in GDP amid demographics, higher real rates, and fiscal pressures, making 0.5% a credible nominal rate well below WACC that prevents the terminal value from dominating the model or overstating fair value.

Bull Case Scenario

For our upside scenario of $83.71 (36.8% Upside), we assume a more favourable Alberta power price outlook, M&A full year contribution exceeding guidance, and expected electricity demand in North America materializing earlier and stronger.

Bear Case Scenario

For our downside scenario yielding $52.94 (13.5% downside), we assume that CPX will face higher upfront costs from recent M&A, an unfavourable electricity demand causing CPX unable to recontract for certain U.S. assets, and future data center demand shows no clear competitive edge for CPX.

Perpetuity Method - Base

Terminal Value	
Expected Long-Term GDP Growth:	2.0%
Baseline Terminal FCF Growth Rate:	0.5%
Baseline Terminal Value:	20,761
Implied Terminal EBITDA Multiple:	12.7x
(+) PV of Terminal Value:	10,013
(+) PV of UFCFs:	9,306
Implied Enterprise Value:	***19,319***
% of Implied TEV from Terminal Value:	
(+) Cash & Investments:	119
(-) Debt & Finance Leases:	(6,884)
(-) Preferred Stock:	(453)
(-) Operating Leases:	
(-) Noncontrolling Interests:	16
Implied Equity Value:	***11,998***
Diluted Shares Outstanding:	155.8
Share Price	***$61.20***
Implied Share Price from DCF:	***$77.01***
Premium / (Discount) to Current:	***25.8%***

Cost of Capital

Weighted Average Cost of Capital	
Cost of Equity	
Risk-Free Rate (10-Year Treasury Bond)	3.56%
Market Risk Premium	8.22%
Raw Beta	0.82
Adjusted Beta	0.88
CAPM	10.79%
Country Risk Premium	0.00%
Adjusted CAPM	10.79%
Cost of Preferred Shares	
Total preferred value ($mm)	453.00
Series 1	
Annual Div/share	$0.6553
Current Price	$24.50
Yield	2.67%
Weight	32.50%
Market Value	$147.23
Series 3	
Annual Div/share	$1.72
Current Price	$24.80
Yield	6.92%
Weight	33.20%
Market Value	$150.40
Series 5	
Annual Div/share	$1.66
Current Price	$25.10
Yield	6.60%
Weight	34.30%
Market Value	$155.38
Cost of Preferred Shares	5.43%
Cost of Debt	
Pre-Tax Debt Cost	4.68%
Effective Tax Rate	27.00%
After-Tax Debt Cost	3.42%
WACC Calculation	
Weight of Equity	55.50%
Weight of Long-Term Debt	41.81%
Weight of Preferred Shares	2.69%
WACC	***7.56%***

Valuation Continued

Sum-of-the-Parts Valuation

We value CPX using a segmented EV/EBITDA sum-of-the-parts methodology. We believe this approach is appropriate given CPX's diversified generation portfolio, which includes assets with differing contract structures, operating risks, and growth characteristics across geographies and technologies. A single consolidated multiple would not fully capture these differences. Accordingly, we segment the business into Canadian Flexible Generation, Canadian Renewables, U.S. Flexible Generation, U.S. Renewables, and Corporate.

Our segmented framework also reflects the core elements of our investment thesis. First, we believe CPX has multiple embedded growth levers, including portfolio optimization, recontracting, Alberta demand growth, and selective U.S. expansion, which support differentiated EBITDA growth across segments. Second, CPX's gas-heavy asset base is strategically positioned to benefit from rising demand for reliable and dispatchable power, particularly in Alberta and U.S. merchant markets, supporting stronger valuation treatment for its flexible generation portfolio. Third, following the recent share price pullback, we believe the market is placing greater weight on near-term uncertainty than on CPX's broader medium-term growth potential, creating an attractive entry point.

Peer Selection and Multiples

For each operating segment, we apply a segment-specific 2026E EV/EBITDA multiple to forecast EBITDA in order to derive implied enterprise value. We use forward EBITDA to better reflect normalized earning power following near-term project ramp-ups and portfolio optimization. Segment multiples are derived from relevant peer groups and are assigned based on cash flow visibility, merchant exposure, technology type, geographic market characteristics, and relative growth prospects. More stable and visible cash flow streams warrant higher valuation multiples, while segments with greater earnings volatility or lower growth potential are valued more conservatively.

We selected peers by segment to align valuation multiples with the underlying characteristics of each business line. Renewable peers include Brookfield Renewable Partners, Northland Power, and Boralex, while flexible generation references include TransAlta and selected U.S. independent power producers such as Constellation Energy, Vistra, NRG, and Talen. Given the limited number of directly comparable Canadian thermal operators, U.S. IPPs provide an important reference point for valuing CPX's flexible generation assets. Based on this analysis, we apply a 12.09x multiple to Canadian Flexible Generation, 9.13x to Canadian Renewables, 11.39x to U.S. Flexible Generation, and 9.13x to U.S. Renewables. CPX is shown for reference only and is excluded from the applied peer multiple.

CPX | Segment Comp Table

(in millions of Dollars except share price and multiples)

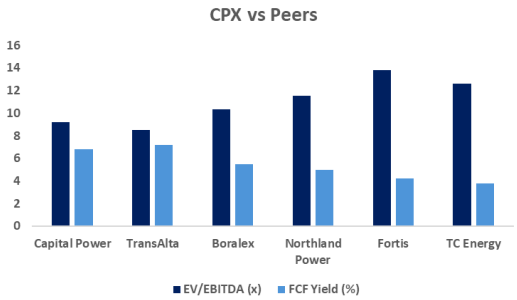
Renewables		Share	Yield	Financial Metrics (mm)		EV/EBITDA Ratio
Company	**Ticker**	**Price**	**(%)**	**Market Cap**	**EV**	**2026E**
Brookfield Renewable Partners LP	BEP US	$30.83	5.09%	$9,460	$42,930	8.62x
Northland Power Inc.	NPI CN	$21.57	3.34%	$5,641	$12,364	8.19x
Boralex Inc.	BLX CN	$28.26	2.34%	$2,904	$7,720	10.58x
Renewables Average			**3.59%**			**9.13x**
Renewables Median						**8.62x**
Canadian Thermal						
Company						
TransAlta Corp.	TRZ CN	$16.12	1.73%	$4,815	$9,211	14.05x
Capital Power Corp.	CPX CN	$61.20	4.52%	$9,572	$16,790	10.12x
Canadian Average			**3.13%**			**12.09x**
U.S. Merchant IPPs						
Company						
Constellation Energy Corp.	CEG US	$281.99	0.60%	$140,046	$147,855	18.03x
Vistra Energy Corp.	VST US	$146.02	0.62%	$67,766	$96,281	9.70x
NRG Energy Inc.	NRG US	$199.86	1.30%	$42,882	$60,168	8.01x
Talen Energy Corp.	TLN US	$302.97	0.00%	$13,753	$19,875	9.82x
U.S. IPP Average			**0.63%**			**11.39x**
U.S. IPP Median						**9.76x**

Notes:
(1) Trailing EV/EBITDA multiples for companies are based on Bloomberg consensus forecast
(2) Priced as of March 20, 2026
Source: UR Investing, Company reports, Bloomberg

Valuation Continued

Segmented SOTP Valuation

We apply our selected 2026E EV/EBITDA multiples to forecast segment EBITDA in order to derive implied enterprise value by operating segment. This approach allows us to value CPX's portfolio on a more granular basis by distinguishing between flexible generation, renewables, and corporate overhead. In our view, this is particularly important because CPX's segments exhibit different earnings quality and growth trajectories. Our thesis assumes stronger forward growth in flexible generation, supported by Alberta demand growth, recontracting opportunities, and improving market conditions for dispatchable power, while renewables contribute steadier but lower-growth cash flow. By assigning segment-specific multiples based on both business mix and forward growth potential, we arrive at an implied enterprise value for each operating segment.



(In millions of Canadian Dollars) Capital Power Corp. Segment EBITDA	2023A	2024A	2025A	2026E	2027E	EV/EBITDA Multiple 2026	Enterprise Value Per segment
Canada Flexible Generation (Gas, BESS)		729	741	756	771	**12.09x**	9,317
Canada Renewables		154	111	117	122	**9.13x**	1,117
U.S. Flexible Generation (Gas)		554	775	829	887	**11.39x**	10,106
U.S. Renewables		102	103	110	118	**9.13x**	1,077
Corporate		-206	-150	-159	-169	**10.25x**	-1,728
Adjusted EBITDA	**1,455**	**1,333**	**1,580**	**1,653**	**1,730**		

Equity Value and Target Price

The application of segment-specific EV/EBITDA multiples yields implied enterprise value by operating segment. We then express these values on a per-share basis to illustrate each segment's gross contribution to portfolio value. Summing these contributions results in total enterprise value, from which we deduct net debt, non-controlling interests, and preferred shares to derive an implied equity value of $82.97 per share.

Target Price Derivation	Target NAV Estimate ($mm)	($/Share)	(%Total)	Basis
Canada Flexible Generation (Gas, BESS)	9,317	$59.88	72%	Average 12.09x Multiple
Canada Renewables	1,117	$7.18	9%	Average 9.13x Multiple
U.S. Flexible Generation (Gas)	10,106	$64.95	78%	Average 11.39x Multiple
U.S. Renewables	1,077	$6.92	8%	Average 9.13x Multiple
Corporate	(1,728)	-$11.10	-13%	10.25x Multiple
Government of Alberta Cash Comp	230	$1.48	2%	
	20,120	$129.30	156%	
Less:				
Net Debt	(6,765)	$ (43.48)	-52%	Adjusted for capex growth
Non-Controlling Interest	8	$ 0.05	0%	
Preferred shares	(453)	$ (2.91)	-4%	
	-7210	$ (46.34)	-56%	
Total Equity Value	**$12,909.51**	**$82.97**	**100%**	
Total Shares Outstanding (mm)		155.6		
Capital Power Target Price		**$83**		

Justification of Target Price

We derive our $83 target price using a sum-of-the-parts (SOTP) framework that values CPX's operating segments individually and incorporates the Alberta government cash compensation. On our 2027 estimates, the target price implies an EV/EBITDA multiple of 11.6x, representing a premium to the company's historical 10-year forward TEV/EBITDA average. In our view, this premium is supported by Capital Power's ongoing portfolio transition, stronger exposure to flexible and contracted generation, and the increasing value of reliability-focused assets as North American power markets tighten over time.

Valuation Continued

Dividend Discount Model

The final valuation model utilized is the Dividend Discount Model, in which we evaluated intrinsic value based on CPX's regular dividends and its clear short-term and long-term guidance. Long-term guidance includes 2-4% annual dividend increases, supported by 13-15% total shareholder return targets through U.S. growth and 8-10% AFFO per share compound annual growth rate to 2030. The terminal growth rate for dividends differs slightly from the DCF model. Given the low 30-50% AFFO payout ratio, CPX can maintain a conservative 2% growth rate in the terminal years. As the business transitions to a mature and stable stage, its strong cash flow generation will support this growth assumption.

Base Case Scenario

In our base case, we assume Adjusted Funds From Operations growth will gradually reach CPX's target of 8-10% through 2030, with a constant 30-50% payout ratio maintained for the first five years before increasing by 5% annually into the terminal year to reflect decelerating growth and higher shareholder distributions. This explicit dividend policy drives our Dividend Discount Model valuation, yielding a modest 5.4% upside from the C$65 share price, which aligns with CPX's conservative payout nature where less than 50% of AFFO supports both reliable dividends and substantial retained cash flows for reinvestment and debt management.

Terminal Value - Base		
2036 DPS Growth		8.66
Ke - Growth Rate		8.79%
Terminal Value		98.53
Present Value		36
Current Share Price:	**$**	**61.20**
Implied Share Price:	**$**	**64.71**
Implied Upside:		***5.4%***



Sensitivity Analysis - Base Case

COE % \ Terminal Growth Rate	0.75%	1.00%	1.25%	1.50%	1.75%	2.00%	2.25%	2.50%	2.75%	3.00%	3.25%
$64.71											
9.54%	68.29	69.65	71.10	72.64	74.28	76.03	77.90	79.90	82.04	84.35	86.85
9.79%	66.27	67.54	68.89	70.31	71.82	73.43	75.15	76.98	78.95	81.06	83.33
10.04%	64.39	65.57	66.81	68.13	69.53	71.02	72.60	74.29	76.09	78.02	80.09
10.29%	62.61	63.71	64.87	66.10	67.39	68.77	70.23	71.78	73.44	75.21	77.11
10.54%	60.95	61.97	63.05	64.19	65.40	66.67	68.02	69.46	70.98	72.61	74.35
10.79%	59.38	60.34	61.34	62.40	63.52	**64.71**	65.96	67.29	68.70	70.20	71.80
11.04%	57.90	58.80	59.74	60.73	61.77	62.87	64.03	65.26	66.57	67.95	69.43
11.29%	56.51	57.35	58.23	59.15	60.12	61.15	62.23	63.37	64.58	65.86	67.22
11.54%	55.20	55.98	56.80	57.67	58.58	59.53	60.54	61.60	62.72	63.91	65.17
11.79%	53.95	54.69	55.46	56.27	57.12	58.01	58.95	59.94	60.98	62.09	63.25
12.04%	52.78	53.47	54.19	54.95	55.74	56.58	57.46	58.38	59.35	60.38	61.46

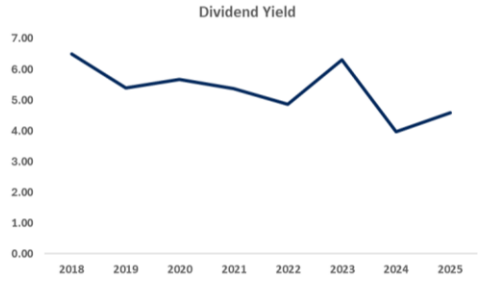
Bull Case Scenario

In our bull case scenario, we assume slightly more aggressive Adjusted Funds From Operations growth with dynamics similar to our DCF bull case, particularly Capital Power Corporation's ability to sustain elevated growth rates longer through U.S. expansion, capacity uprates, and merchant market tailwinds. We apply a higher terminal growth rate of 3% to reflect this extended high-growth phase, arriving at a price target of C$73.2 that implies 16.2% upside from C$65. This scenario captures the embedded $1B EBITDA opportunity from spark spreads and recontracting while maintaining same payout ratio tendency assumption.

Terminal Value - Bull		
2036 DPS Growth		9.21
Ke - Growth Rate		7.79%
Terminal Value		118.18
Present Value		44
Current Share Price:	**$**	**61.20**
Implied Share Price:	**$**	**73.02**
Implied Upside:		***16.2%***

Sensitivity Analysis - Bull Case

COE % \ Terminal Growth Rate	1.75%	2.00%	2.25%	2.50%	2.75%	3.00%	3.25%	3.50%	3.75%	4.00%	4.25%
$73.02											
9.54%	77.28	79.10	81.04	83.13	85.37	87.77	90.37	93.19	96.25	99.58	103.23
9.79%	74.71	76.39	78.18	80.09	82.14	84.34	86.71	89.26	92.03	95.03	98.31
10.04%	72.32	73.87	75.52	77.28	79.16	81.17	83.33	85.66	88.17	90.88	93.84
10.29%	70.09	71.53	73.05	74.67	76.40	78.24	80.22	82.34	84.63	87.10	89.77
10.54%	68.01	69.34	70.75	72.24	73.84	75.53	77.35	79.29	81.38	83.62	86.05
10.79%	66.06	67.29	68.60	69.98	71.45	**73.02**	74.69	76.47	78.38	80.43	82.63
11.04%	64.23	65.38	66.59	67.87	69.23	70.68	72.22	73.86	75.61	77.48	79.50
11.29%	62.52	63.58	64.71	65.90	67.16	68.50	69.92	71.43	73.04	74.76	76.60
11.54%	60.90	61.90	62.95	64.05	65.22	66.46	67.78	69.17	70.66	72.24	73.93
11.79%	59.38	60.31	61.29	62.32	63.41	64.56	65.78	67.07	68.44	69.90	71.46
12.04%	57.95	58.82	59.73	60.70	61.71	62.78	63.91	65.11	66.38	67.72	69.16

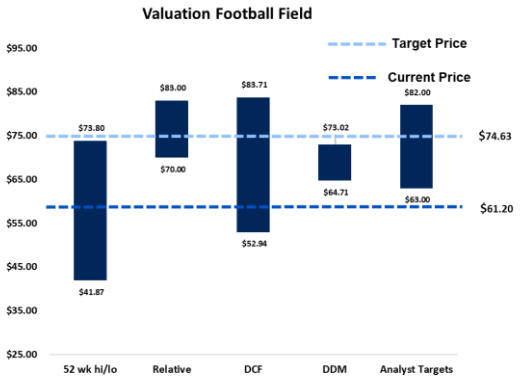


Valuation Continued

Sensitivity analysis

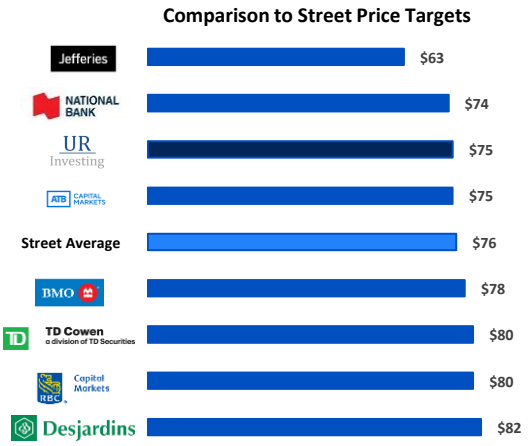
DCF Model

For the DCF sensitivity analysis, we sensitized WACC and terminal growth in 25 bps increments to map a more precise valuation range for CPX across different return and growth assumptions. The result is telling: to justify a share price in the $60 to $65 range, the model requires either an unusually high WACC or a terminal growth rate that is effectively punitive, such as 8.1% WACC paired with -0.5% growth. That outcome gives us stronger conviction that the market is assigning CPX a valuation that already embeds very conservative assumptions, and that the downside case may be overstated relative to the company's actual operating profile.



DDM model

For the DDM sensitivity analysis, we used the same 25 bps increments to test the cost of equity and terminal growth assumptions. Even though the base case DDM produces a fairly modest valuation, the sensitivity table shows that meaningful upside remains achievable under reasonable combinations of growth and required return. That matters because a dividend model does not fully capture CPX's value creation potential when the company intentionally retains a large share of AFFO for reinvestment, acquisitions, and fleet optimization rather than distributing it all through dividends. In other words, the DDM likely understates intrinsic value in a business like CPX where retained capital can compound future AFFO beyond what a payout-based model alone can reflect.



Valuation Summary

We derived our target price through a weighted blend of valuation methods, assigning 25% to the DCF base case and SOTP analyses, 20% each to the bear and bull DCF scenarios, and 10% to the DDM model. The 25% weighting on DCF/SOTP reflects their strength in capturing both CPX's internal cash flow drivers, such as U.S. gas fleet expansion and hedging discipline, and external peer comparability through sum-of-the-parts adjustments for Alberta stability versus PJM growth.

The 20% allocations to bear and bull DCF cases allow us to bracket the full range of outcomes, from downside risks like prolonged Alberta weakness or policy headwinds to upside catalysts such as data center demand and capacity uprates. DDM receives the lowest 10% weight because, while it validates dividend sustainability against AFFO coverage, it understates value creation from retained cash flows that fuel reinvestment and compounding, making it a conservative check rather than the primary driver.

Analyst Price Targets

Our target price aligns closely with the street consensus and broader analyst distribution, which we view as a reasonable validation of our methodology rather than a reason to chase outliers. Jefferies' Hold rating with a $63 target stands out as notably cautious amid the pack, citing elevated risks around Alberta power prices and recontracting—which we acknowledge as fair concerns given the sensitivity analysis range—but we maintain conviction that CPX's diversified U.S. gas fleet, balanced hedging profile (70-90% near-term coverage), and $1B+ merchant optimization opportunity position it to not just weather the current unfavorable backdrop but to deliver strategic, AFFO-compounding growth well above what a conservative consensus implies.

Valuation Summary

Valuation Technique	Weights	Price (USD)
DCF - Base	25%	$77.01
DCF - Bear	20%	$52.94
DCF - Bull	20%	$83.71
Relative Valuation - SOTP	25%	$82.97
DDM	10%	$73.02
Current Price		**$61.20**
Target Price		***$74.63***
Target Upside/ Downside		***21.9%***

ESG

ESG Considerations

CPX's ESG profile appears relatively balanced, supported by a Bloomberg ESG score of 5.31, a Leading ranking versus peers, and a positive overall score trend of +0.26. The company's ESG profile is shaped primarily by environmental transition risk, governance quality, and the evolving composition of its generation portfolio. While CPX remains exposed to carbon-related and regulatory risks through its thermal generation assets, its broader ESG profile appears supported by improving environmental trends and strong governance indicators. In our view, ESG does not represent a core impediment to the investment thesis, though environmental factors remain an important consideration in assessing long-term risk and valuation.

Environmental

Environmental considerations remain central to the assessment of CPX, given its exposure to gas-fired generation and the increasing policy focus on emissions reduction across power markets. Bloomberg assigns Capital Power an environmental score of 4.34, ranking Above Median versus peers, with a positive trend of +0.56, suggesting that the company's environmental profile is improving. This appears broadly consistent with management's roadmap to a lower-carbon future, which emphasizes near-term reliability through natural gas while directing growth toward batteries, renewables, and other lower-carbon solutions. Management has also stated that it intends to allocate 30% of growth capital over the next five years toward renewables and other lower-carbon solutions, supporting the view that the portfolio is gradually evolving toward a lower-emission mix. However, environmental risk remains relevant, as Bloomberg does not show a disclosed net-zero target or science-based target, and the company's implied Scope 1+2 mid-term temperature rise metric of 3.20°C indicates continued transition-related exposure. While this creates ongoing carbon and policy risk, CPX's evolving asset mix and growing investment in lower-carbon solutions help moderate longer-term environmental concerns.

Social

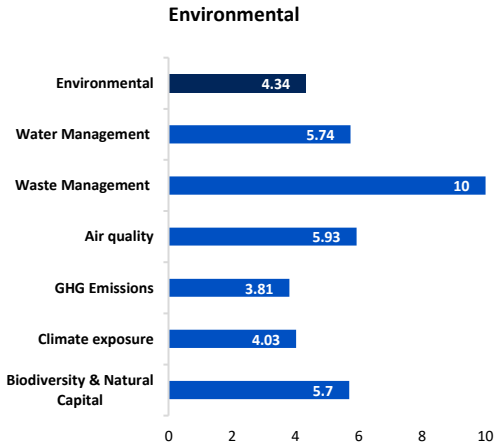
Social factors appear less material to the investment case than environmental and governance considerations, though they remain relevant in assessing operational continuity and execution risk. Bloomberg assigns CPX a social score of 4.09, which ranks Above Median versus peers, with a modest positive trend of +0.03. In addition, Bloomberg flags no UNGC violations, suggesting no major social-related controversies at present. For CPX, the most relevant social issues relate to employee health and safety, workforce stability, and stakeholder relationships in the communities where it operates and develops projects. Overall, we view social factors as a manageable consideration for Capital Power rather than a primary driver of valuation.

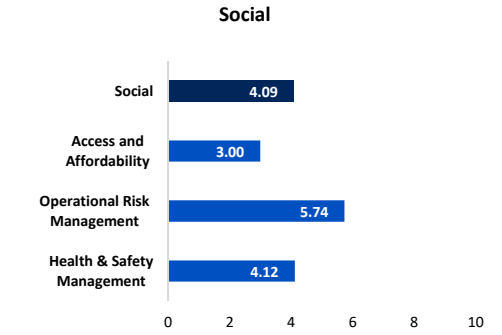
Governance

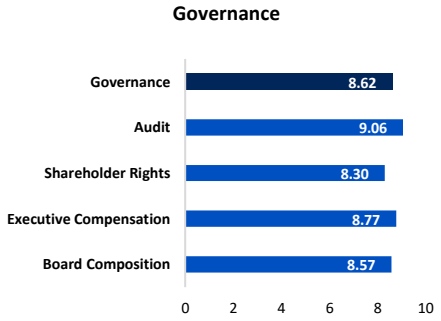
Governance appears to be a relative strength within CPX's ESG profile and one of the company's more supportive qualitative factors. Bloomberg assigns CPX a governance score of 8.62, which ranks as Leading versus peers, supported by 90% independent directors, 40% women on the board, and 97.4% say-on-pay support. While the governance trend is modestly negative at -0.13, and 3 of 9 executives have been in their roles for less than one year, the company's overall governance framework appears supportive of disciplined capital allocation, risk oversight, and long-term value creation. In our view, CPX's governance profile helps mitigate some of the operational and transition-related risks facing the business.



CPX's roadmap emphasizes reliability in the near term and lower-carbon solutions over time.







Overall ESG View

Overall, CPX's ESG profile appears balanced, with a Bloomberg ESG score of **5.31** and a **Leading** peer ranking. Governance represents a clear strength, while environmental factors remain the most material area of risk despite improving trends. As a result, we do not view ESG as a major impediment to the investment thesis, though environmental performance and transition-related execution will remain important areas to monitor over time.

Risks & Mitigations

Merchant Power Price and Recontracting Risk

A key risk to our thesis is that Alberta and U.S. merchant power prices remain weaker for longer, limiting the upside embedded in CPX's balanced contracting model. While the company benefits from a largely contracted EBITDA base, a meaningful portion of value creation still depends on merchant exposure at assets such as Genesee, Hummel, and Rolling Hills. In addition, if future recontracting opportunities are executed at less attractive terms than expected, CPX may not fully realize the earnings uplift we are underwriting in our valuation.

Mitigant: This risk is partially mitigated by CPX's disciplined contracting philosophy, with approximately 75% of adjusted EBITDA supported by long-term contracts, tolling agreements, and hedging arrangements. This provides meaningful cash flow stability and downside protection, while still preserving selective merchant upside if pricing improves.

Market Design and Regulatory Risk

CPX's thesis is also exposed to changes in power market design, environmental regulation, or carbon policy, particularly in Alberta and PJM. In PJM, reforms that favor new-build capacity over existing generation could reduce the value of recently acquired gas-fired assets and weaken recontracting economics. More broadly, adverse regulatory or policy changes could reduce asset-level profitability, alter contracting opportunities, or make gas-fired generation less attractive over time.

Mitigant: CPX mitigates this risk through geographic diversification, active stakeholder engagement, and a portfolio that combines contracted assets with flexible generation across multiple markets. The company's existing PPAs, tolling agreements, and capacity-linked revenues also reduce reliance on any single regulatory outcome.

Execution, Capital Allocation, and Financing Risk

Our buy thesis assumes CPX can continue converting acquisitions, fleet optimization, uprates, and development opportunities into AFFO/share growth. If acquisitions fail to deliver expected synergies, projects are delayed, or capital is deployed at lower-than-expected returns, the company may fall short of its growth targets. In addition, as a capital-intensive business, CPX remains exposed to elevated interest rates and tighter financing conditions, which could reduce valuation upside, and pressure returns on new investment.

Mitigant: This risk is moderated by management's stated focus on AFFO/share growth, CPX's investment-grade balance sheet, and the company's diversified set of value-creation levers. Rather than relying on one single catalyst, CPX has multiple pathways to growth through optimization, recontracting, acquisitions, and long-term demand growth for dispatchable power.

PJM Market Bifurcation Risk

CEO Avik Dey's concern in the Q4 2025 earnings call highlights a potential regulatory threat in PJM, North America's largest power market, where existing generators like CPX's newly acquired Hummel (1,124 MW) and Rolling Hills (1,023 MW) could face discriminatory pricing relative to new entrants. Bifurcation refers to proposals—amid FERC-mandated reforms (e.g., ELCC accreditation, extended weather risk modeling effective 2025)—to create separate pricing regimes, such as preferential capacity auction credits, faster interconnection queues (e.g., Replacement Resource Initiative for retiring sites), or subsidies for "new" generation (including uprates/storage), potentially at the expense of mid-life merchant/existing assets. This risks eroding net revenues for incumbents (e.g., via lower Base Residual Auction clears despite 2026/27 at $329/MW-day cap), discouraging investment in reliable gas-fired capacity critical for data center/AI load growth (~100 GW U.S. need), as existing plants subsidize newcomers without equivalent support.

Mitigant: CPX counters via proactive stakeholder engagement (as noted by CEO), alongside hedges (1.1 GW power 2026 at high-40s USD/MWh; gas $3-4/MMBtu), capacity payments, and optimizations (e.g., uprates re-contracting yielding $225-300M EBITDA uplift). The 2026/27 BRA's 2,669 MW new/uprates signals market response without bifurcation yet, while Apollo MOU expands deal flow beyond PJM; diversified contracts (e.g., MCV to 2040) provide 75% EBITDA stability. Long-term, FERC's rejection of one-time extensions limits abuse, preserving competitive neutrality.

Net Risk Assessment

Overall, we believe these risks are manageable and do not outweigh the strength of our investment thesis. While CPX remains exposed to merchant price volatility, regulatory uncertainty, and execution risk, these factors are partially mitigated by its disciplined contracting strategy, diversified asset base, investment-grade balance sheet, and multiple pathways to AFFO/share growth. In our view, the company's contracted cash flow foundation and exposure to dispatchable generation demand support an attractive risk-reward profile despite these uncertainties.

Appendix A.1: Financial Estimates

Financial Estimates - Base Case											
$ (in millions)	**2025A**	**2026F**	**2027F**	**2028F**	**2029F**	**2030F**	**2031F**	**2032F**	**2033F**	**2034F**	**2035F**
Adjusted EBITDA											
Canada flexible generation	741	694	763	828	886	939	977	1,016	1,046	1,015	1,025
% Growth		-7%	10%	9%	7%	6%	4%	4%	3%	-3%	1%
Canada renewables	111	125	145	150	159	169	177	182	186	190	192
% Growth		11%	14%	6%	6%	6%	5%	3%	2%	2%	1%
U.S. flexible generation	775	891	1,007	1,118	1,219	1,316	1,421	1,450	1,406	1,434	1,449
% Growth		15%	13%	11%	9%	8%	8%	2%	-3%	2%	1%
U.S. renewables	103	100	105	124	134	139	145	149	152	155	157
% Growth		-3%	5%	18%	8%	4%	4%	3%	2%	2%	1%
Corporate	(150)	(181)	(181)	(181)	(181)	(181)	(181)	(181)	(181)	(181)	(181)
Adjusted EBITDA	***1,580***	***1,629***	***1,840***	***2,039***	***2,216***	***2,382***	***2,539***	***2,616***	***2,609***	***2,613***	***2,641***
% Growth		3.1%	12.9%	10.8%	8.7%	7.5%	6.6%	3.0%	-0.2%	0.1%	1.1%
Depreciation and amortization	580	592	600	635	670	705	740	740	740	740	740
Unrealized fair value changes	342	- -	- -	- -	- -	- -	- -	- -	- -	- -	- -
Finance Expense	307	365	365	365	365	300	300	300	300	300	300
Foreign exchange losses/other	184	184	184	184	184	184	184	184	184	184	184
Net income before taxes	**167**	**488**	**691**	**855**	**997**	**1,193**	**1,315**	**1,392**	**1,385**	**1,389**	**1,417**
Income Tax recovery (expense)	8	132	186	231	269	322	355	376	374	375	383
Net income after taxes	159	***356***	***504***	***624***	***728***	***871***	***960***	***1,016***	***1,011***	***1,014***	***1,034***
Non-controlling interest	1	31	31	31	31	31	31	31	31	31	31
Preferred dividends	28	28	28	28	28	28	28	28	28	28	28
Net income to common shareholders	***132***	***359***	***507***	***627***	***731***	***874***	***963***	***1,019***	***1,014***	***1,017***	***1,037***
Weighted avg. shares O/S - basic	150.5	155.8	155.8	155.8	155.8	155.8	155.8	155.8	155.8	155.8	155.8
Weighted avg. shares O/S - diluted	150.8	155.8	155.8	155.8	155.8	155.8	155.8	155.8	155.8	155.8	155.8
Dividend per share	2.69	2.77	2.86	2.98	3.10	3.22	3.29	3.35	3.42	3.49	3.56
% growth	6%	3%	3.5%	4%	4%	4%	2%	2%	2%	2%	2%

Appendix A.2: Assumptions

Assumptions - Financial Estimates

ıada flexible generation

Management guiding to roughly flat performance near $725–$749M through 2027, as weak Alberta prices offset Genesee repowering benef
2026 guidance flags about a 40% increase in outage days for this segment, implying near-term EBITDA headwinds
Optimization and potential Alberta data-center offtake (including a 250 MW ESA MOU starting 2028), slower growth and back to CAGR when reaching terminal years

Canada renewables

Guided to recover to ~$146M in 2026 and $163M in 2027 as new projects (e.g., Halkirk 2, solar VPPAs) contribute for a full year, kept below that range to be more conservative
Management's 2026 targets include continued construction of Ontario growth projects and exploration of additional renewables, but these are a modest share of total growth versus gas and optimization

U.S. flexible generation

Main growth engine: EBITDA rose from $554M in 2024 to $790M in 2025, 2026 &2027 are driven by Hummel/Rolling Hills, La Paloma/Harquahala, and Arlington Valley uprates.
CPX targets ~3.5 GW additional U.S. capacity by 2030 (about a 50% increase versus the current ~6.5–7 GW), with 65% of its 25 GW pipeline in M&A and the balance in fleet optimization, we estimate it will support 8% growth from 2028 though 2030 and slower there after
U.S. recontracting alone (MCV done, Decatur/AV/Harquahala/La Paloma ahead) is adding roughly $225–300M of incremental EBITDA over time, most of it falling into this segment

U.S. renewables

Management's growth plan includes only about 1 GW of greenfield renewables and storage to 2030, so this segment grows, but at a slower pace and remains a minority of total EBITDA
new solar projects (Maple Leaf, Bear Branch, Hornet) are commissioned in 2026 and 2027, near term US renewable is not so bright due to war and the administration, keeping growth modest, CAGR 26-28 ~ 9% in line with management estimate

Depreciation

Modest increments in 2026–27 for the known projects (Arlington uprate, East Windsor + NC solar, remaining BESS ramp). See Depreciation & CapEx sheet
After 2031 assume constant depreciation as CapEx are now only maintenance

Tax

27% based on historical tax rate, income tax higher due to expected higher net income

Dividend

2%-4% to 2023, we expect growth to stay at 2% thereafter

Appendix A.3: Base DCF

Base Case Discounted Cash Flow

$ (in millions)	2025A	2026F	2027F	2028F	2029F	2030F	2031F	2032F	2033F	2034F	2035F	Terminal Value
Adj EBITDA	1,580	1,629	1,840	2,039	2,216	2,382	2,539	2,616	2,609	2,613	2,641	
Adjustments	(1,421)	(1,273)	(1,335)	(1,415)	(1,488)	(1,511)	(1,579)	(1,600)	(1,598)	(1,599)	(1,607)	
Net income	***159***	***356***	***504***	***624***	***728***	***871***	***960***	***1,016***	***1,011***	***1,014***	***1,034***	
D&A	580	592	600	635	670	705	740	740	740	740	740	
Change in WC	7	10	18	20	22	24	25	26	26	26	26	
Other timing items	216	100	100	100	100	100	100	100	100	100	100	
Net Cash Flow from Operation	962	1,058	1,222	1,379	1,520	1,700	1,825	1,882	1,877	1,880	1,901	
Interest paid	304	310	316	323	329	329	329	329	329	329	329	
Taxes 27%	20	132	186	231	269	322	355	376	374	375	383	
Distributions received from JVs	(66)	(120)	(120)	(120)	(120)	(120)	(220)	(220)	(220)	(220)	(220)	
Other timing items	(383)	(314)	(372)	(435)	(467)	(609)	(684)	(779)	(856)	(856)	(856)	
FFO	***969***	***1,067***	***1,233***	***1,378***	***1,532***	***1,622***	***1,606***	***1,588***	***1,504***	***1,508***	***1,536***	
implied growth%		*10%*	*16%*	*12%*	*11%*	*6%*	*-1%*	*-1%*	*-5%*	*0%*	*1.9%*	
Less: Capital Expenditures	(238)	(290)	(296)	(302)	(308)	(314)	(320)	(327)	(323)	(320)	(317)	
Add: After tax interest cost		226	231	236	240	240	240	240	240	240	240	
FCFF		***1,003***	***1,168***	***1,312***	***1,464***	***1,548***	***1,526***	***1,502***	***1,421***	***1,428***	***1,459***	***20,761***
Discounted FCFF		***950***	***1,010***	***1,054***	***1,094***	***1,075***	***985***	***901***	***793***	***741***	***704***	***10,013***

Sensitivity Analysis

WACC \ Terminal Growth Rate	*$77.01*	-0.75%	-0.50%	-0.25%	0.00%	0.25%	0.50%	0.75%	1.00%	1.25%	1.50%	1.75%
	6.31%	87.82	90.62	93.64	96.89	100.42	104.24	108.41	112.98	117.99	123.52	129.67
	6.56%	83.00	85.56	88.31	91.26	94.45	97.90	101.64	105.73	110.20	115.10	120.52
	6.81%	78.51	80.85	83.35	86.04	88.93	92.05	95.43	99.10	103.10	107.47	112.28
	7.06%	74.31	76.45	78.74	81.19	83.82	86.66	89.71	93.02	96.61	100.53	104.81
	7.31%	70.37	72.34	74.44	76.68	79.08	81.65	84.43	87.42	90.66	94.18	98.01
WACC	***7.56%***	66.67	68.48	70.41	72.46	74.66	**77.01**	79.53	82.25	85.18	88.35	91.79
	7.81%	63.18	64.85	66.63	68.52	70.53	72.68	74.98	77.45	80.11	82.98	86.09
	8.06%	59.90	61.44	63.08	64.82	66.66	68.64	70.74	73.00	75.42	78.02	80.83
	8.31%	56.80	58.23	59.74	61.34	63.04	64.85	66.78	68.84	71.05	73.42	75.97
	8.56%	53.86	55.19	56.59	58.07	59.64	61.30	63.08	64.97	66.99	69.15	71.47
	8.81%	51.08	52.31	53.61	54.98	56.43	57.97	59.60	61.34	63.19	65.17	67.29

Appendix A.4: Bull DCF

Bull Case Discounted Cash Flow

$ (in millions)	2025A	2026F	2027F	2028F	2029F	2030F	2031F	2032F	2033F	2034F	2035F	Terminal Value
Adj EBITDA	1,580	1,629	1,856	2,042	2,241	2,431	2,615	2,715	2,712	2,713	2,742	
Adjustments	(1,421)	(1,273)	(1,340)	(1,416)	(1,495)	(1,524)	(1,600)	(1,627)	(1,626)	(1,626)	(1,634)	
Net income	***159***	***356***	***516***	***627***	***746***	***907***	***1,015***	***1,089***	***1,086***	***1,087***	***1,108***	
D&A	580	592	600	635	670	705	740	740	740	740	740	
Change in WC	7	10	19	20	22	24	26	27	27	27	27	
Other timing items	216	100	100	100	100	100	100	100	100	100	100	
Net Cash Flow from Operation	962	1,058	1,235	1,382	1,539	1,736	1,881	1,956	1,953	1,954	1,976	
Interest paid	304	310	316	323	329	329	329	329	329	329	329	
Taxes 27%	20	132	191	232	276	335	376	403	402	402	410	
Distributions received from JVs	(66)	(120)	(120)	(120)	(120)	(120)	(220)	(220)	(220)	(220)	(220)	
Other timing items	(383)	(314)	(372)	(435)	(467)	(609)	(684)	(779)	(856)	(856)	(856)	
FFO	***969***	***1,067***	***1,250***	***1,381***	***1,557***	***1,672***	***1,682***	***1,689***	***1,608***	***1,609***	***1,639***	
implied growth%		*10%*	*17%*	*10%*	*13%*	*7%*	*1%*	*0%*	*-5%*	*0%*	*1.8%*	
Less: Capital Expenditures	(238)	(290)	(296)	(302)	(308)	(314)	(320)	(327)	(323)	(320)	(317)	
Add: After tax interest cost		226	231	236	240	240	240	240	240	240	240	
FCFF		***1,003***	***1,185***	***1,315***	***1,489***	***1,598***	***1,602***	***1,602***	***1,525***	***1,529***	***1,562***	***22,219***
Discounted FCFF		***950***	***1,024***	***1,057***	***1,112***	***1,110***	***1,035***	***962***	***851***	***793***	***753***	***10,715***

WACC 7.6%

Sensitivity Analysis

WACC	Terminal Growth Rate											
	$83.71	**-0.75%**	**-0.50%**	**-0.25%**	**0.00%**	**0.25%**	**0.50%**	**0.75%**	**1.00%**	**1.25%**	**1.50%**	**1.75%**
	6.31%	95.20	98.20	101.43	104.91	108.69	112.78	117.25	122.13	127.49	133.42	139.99
	6.56%	90.07	92.80	95.74	98.90	102.31	106.00	110.01	114.38	119.17	124.42	130.22
	6.81%	85.27	87.78	90.46	93.33	96.43	99.77	103.38	107.31	111.59	116.27	121.41
	7.06%	80.79	83.08	85.53	88.16	90.97	94.00	97.27	100.81	104.66	108.85	113.43
	7.31%	76.59	78.69	80.94	83.34	85.91	88.66	91.63	94.84	98.30	102.07	106.17
WACC	***7.56%***	72.64	74.58	76.64	78.84	81.19	**83.71**	86.41	89.31	92.45	95.84	99.53
	7.81%	68.92	70.71	72.61	74.63	76.79	79.09	81.55	84.19	87.04	90.11	93.44
	8.06%	65.42	67.07	68.83	70.69	72.66	74.77	77.03	79.44	82.03	84.82	87.82
	8.31%	62.12	63.65	65.26	66.98	68.80	70.74	72.80	75.01	77.37	79.91	82.64
	8.56%	58.99	60.41	61.90	63.49	65.17	66.95	68.85	70.87	73.04	75.35	77.84
	8.81%	56.03	57.35	58.73	60.20	61.75	63.40	65.14	67.00	68.99	71.10	73.37

Perpetuity Method - Bull

Terminal Value	
Expected Long-Term GDP Growth:	2.0%
Baseline Terminal FCF Growth Rate:	0.5%
Baseline Terminal Value:	22,219
Implied Terminal EBITDA Multiple:	13.6x
(+) PV of Terminal Value:	10,715
(+) PV of UFCFs:	9,647
Implied Enterprise Value:	***20,362***
% of Implied TEV from Terminal Value:	
(+) Cash & Investments:	119
(-) Debt & Finance Leases:	(6,884)
(-) Preferred Stock:	(453)
(-) Operating Leases:	
(-) Noncontrolling Interests:	16
Implied Equity Value:	***13,041***
Diluted Shares Outstanding:	155.8
Current Share Price	***$61.20***
Implied Share Price from DCF:	***$83.71***
Premium / (Discount) to Current:	***36.8%***

Appendix A.5: Bear DCF

Bear Case Discounted Cash Flow

$ (in millions)	2025A	2026F	2027F	2028F	2029F	2030F	2031F	2032F	2033F	2034F	2035F	Terminal Value
Adj EBITDA	1,580	1,629	1,787	1,957	2,063	2,150	2,220	2,271	2,269	2,270	2,294	
Adjustments	(1,421)	(1,273)	(1,321)	(1,393)	(1,447)	(1,448)	(1,493)	(1,507)	(1,506)	(1,506)	(1,513)	
Net income	***159***	***356***	***466***	***564***	***616***	***701***	***727***	***764***	***763***	***763***	***781***	
D&A	580	592	600	635	670	705	740	740	740	740	740	
Change in WC	7	10	18	20	21	21	22	23	23	23	23	
Other timing items	216	100	100	100	100	100	100	100	100	100	100	
Net Cash Flow from Operation	962	1,058	1,184	1,319	1,407	1,528	1,589	1,627	1,626	1,626	1,644	
Interest paid	304	310	316	323	329	329	329	329	329	329	329	
Taxes 27%	20	132	172	209	228	259	269	283	282	282	289	
Distributions received from JVs	(66)	(120)	(120)	(120)	(120)	(120)	(220)	(220)	(220)	(220)	(220)	
Other timing items	(383)	(314)	(372)	(435)	(467)	(609)	(684)	(779)	(856)	(856)	(856)	
FFO	***969***	***1,067***	***1,180***	***1,295***	***1,377***	***1,387***	***1,284***	***1,240***	***1,161***	***1,161***	***1,186***	
implied growth%		*10%*	*11%*	*10%*	*6%*	*1%*	*-7%*	*-3%*	*-6%*	*0%*	*2.1%*	
Less: Capital Expenditures	(238)	(290)	(296)	(302)	(308)	(314)	(320)	(327)	(323)	(320)	(317)	
Add: After tax interest cost		226	231	236	240	240	240	240	240	240	240	
FCFF		***1,003***	***1,115***	***1,229***	***1,309***	***1,314***	***1,204***	***1,153***	***1,078***	***1,082***	***1,109***	***15,782***
Discounted FCFF		***950***	***964***	***987***	***978***	***912***	***777***	***692***	***601***	***561***	***535***	***7,611***

WACC 7.6%

Sensitivity Analysis

WACC \ Terminal Growth Rate	*$52.94*	-0.75%	-0.50%	-0.25%	0.00%	0.25%	0.50%	0.75%	1.00%	1.25%	1.50%	1.75%
	6.31%	61.34	63.47	65.76	68.24	70.92	73.83	77.00	80.47	84.28	88.48	93.15
	6.56%	57.64	59.59	61.67	63.92	66.34	68.97	71.81	74.92	78.31	82.05	86.17
	6.81%	54.19	55.97	57.87	59.92	62.11	64.49	67.06	69.84	72.88	76.21	79.86
	7.06%	50.96	52.59	54.33	56.19	58.20	60.35	62.67	65.19	67.92	70.89	74.15
	7.31%	47.93	49.43	51.02	52.73	54.55	56.51	58.62	60.89	63.35	66.03	68.94
WACC	***7.56%***	45.08	46.46	47.92	49.49	51.15	**52.94**	54.86	56.92	59.15	61.56	64.18
	7.81%	42.40	43.67	45.02	46.45	47.98	49.62	51.37	53.24	55.27	57.45	59.81
	8.06%	39.87	41.04	42.28	43.60	45.01	46.51	48.11	49.82	51.66	53.64	55.78
	8.31%	37.47	38.56	39.71	40.93	42.22	43.60	45.06	46.63	48.31	50.11	52.05
	8.56%	35.21	36.22	37.28	38.40	39.60	40.86	42.21	43.65	45.19	46.83	48.59
	8.81%	33.06	34.00	34.98	36.02	37.13	38.30	39.54	40.86	42.27	43.77	45.38

Perpetuity Method - Bear

Terminal Value	
Expected Long-Term GDP Growth:	2.0%
Baseline Terminal FCF Growth Rate:	0.5%
Baseline Terminal Value:	15,782
Implied Terminal EBITDA Multiple:	9.7x
(+) PV of Terminal Value:	7,611
(+) PV of UFCFs:	7,958
Implied Enterprise Value:	***15,569***
% of Implied TEV from Terminal Value:	
(+) Cash & Investments:	119
(-) Debt & Finance Leases:	(6,884)
(-) Preferred Stock:	(453)
(-) Operating Leases:	
(-) Noncontrolling Interests:	16
Implied Equity Value:	***8,248***
Diluted Shares Outstanding:	155.8
Current Share Price	***$61.20***
Implied Share Price from DCF:	***$52.94***
Premium / (Discount) to Current:	***-13.5%***

Appendix B: Base and Bull DDM

Base Case DDM

$ (in millions)	2025A	2026F	2027F	2028F	2029F	2030F	2031F	2032F	2033F	2034F	2035F
AFFO growth	6%	7%	7%	8%	9%	10%	8%	6%	4%	3%	2.0%
Payout Rate	38%	40%	40%	40%	40%	40%	45%	50%	55%	60%	65%
AFFO/share	7.08	7.54	8.07	8.71	9.50	10.45	11.28	11.96	12.44	12.81	13.07
DPS	2.69	3.02	3.23	3.49	3.80	4.18	5.08	5.98	6.84	7.69	8.49
Cost of equity	10.8%	10.8%	10.8%	10.8%	10.8%	10.8%	10.8%	10.8%	10.8%	10.8%	10.8%
Present Value		***2.79***	***2.70***	***2.63***	***2.59***	***2.57***	***2.82***	***2.99***	***3.09***	***3.14***	***3.13***

Long-term guidance remains 2-4% annual increases, backed by 13-15% TSR targets through U.S. growth and 8-10% AFFO/share CAGR to 2030

Bull Case DDM

$ (in millions)	2025A	2026F	2027F	2028F	2029F	2030F	2031F	2032F	2033F	2034F	2035F
AFFO growth	6%	8%	8%	9%	10%	10%	8%	7%	4%	3%	3%
Payout Rate	38%	40%	40%	40%	40%	40%	45%	50%	55%	60%	65%
AFFO/share	7.08	7.65	8.26	9.00	9.86	10.84	11.71	12.53	13.03	13.36	13.76
DPS	2.69	3.06	3.30	3.60	3.94	4.34	5.27	6.26	7.17	8.01	8.94
Cost of equity	10.8%	10.8%	10.8%	10.8%	10.8%	10.8%	10.8%	10.8%	10.8%	10.8%	10.8%
Present Value		***2.83***	***2.76***	***2.72***	***2.68***	***2.67***	***2.92***	***3.14***	***3.24***	***3.27***	***3.29***

Appendix C: Relative Valuation – Segment YoY growth

(In millions of Canadian Dollars) Capital Power Corp. Segment EBITDA	2023A	2024A	2025A	2026E	2027E	EV/EBITDA Multiple 2026	Enterprise Value Per segment
Canada Flexible Generation (Gas, BESS)		729	741	756	771	**12.09x**	9,317
YoY %			1.6%	2%	2%		
Canada Renewables		154	111	117	122	**9.13x**	1,117
YoY %			-27.9%	5%	5%		
U.S. Flexible Generation (Gas)		554	775	829	887	**11.39x**	10,106
YoY %			39.9%	7%	7%		
U.S. Renewables		102	103	110	118	**9.13x**	1,077
YoY %			1%	7%	7%		
Corporate		-206	-150	-159	-169	**10.25x**	-1,728
YoY %			-27.2%	6%	6%		
Adjusted EBITDA	**1,455**	**1,333**	**1,580**	**1,653**	**1,730**		
YoY %			18.5%	4.6%	4.7%		

Appendix D: GARP Screener

The screener was run on the S&P 500 and S&P/TSX 60 universe using five years of annual data from LSEG. Stocks were first filtered for a minimum $10 share price, four complete years of fundamentals, positive EPS in both Y0 and Y3, and a valid GICS sector. Surviving stocks were scored across three dimensions, with all metrics winsorized and z-scored within each GICS sector to prevent sector differences from biasing rankings.

Growth (45%): Three-year EPS CAGR and three-year Sales Per Share CAGR, both z-scored within the sector and averaged into the Growth Score.
Valuation (25%): Trailing P/E, PEG ratio (Price/Earnings-to-Growth), and Earnings Yield (EPS/Price). Earnings Yield was used as the scoring metric because it behaves linearly, unlike P/E, which distorts near-zero earnings. Z-scored within sector to produce the Valuation Score.
Quality (30%): Four factors:
Gross Profitability, higher is better;

Asset Growth (YoY change in total assets, lower is better as companies aggressively expanding their asset base through acquisitions or large capital expenditure programs tend to destroy shareholder value over time, as management overinvests in low-return projects;

Accruals lower is better, as a large gap between reported net income and actual operating cash flow suggests earnings are being driven by accounting adjustments rather than real cash generation;

Share Issuance (YoY change in shares outstanding, lower is better, as when a company issues new shares, it dilutes existing shareholders' ownership stake; when it buys back shares, it returns value to them).

All four z-scored within sector and averaged into the Quality Score.
The composite Final Score (0.45 × Growth + 0.25 × Valuation + 0.30 × Quality) was used to rank stocks both across the full universe and within each sector.

Appendix E: References

Bloomberg Terminal
LSEG
Alphasense
Company's filings and presentations
https://simplywall.st/stocks/ca/utilities/tsx-cpx/capital-power-shares
https://www.latitudemedia.com/news/early-stage-data-centers-are-driving-up-us-power-demand-forecasts/
https://about.bnef.com/insights/clean-energy/ai-and-the-power-grid-where-the-rubber-meets-the-road/
https://www.theglobeandmail.com/investing/markets/stocks/CPX-T/pressreleases/556375/capital-power-reports-fourth-quarter-and-year-end-2025-results/
https://finance.yahoo.com/quote/CPX.TO/
https://finance.yahoo.com/news/capital-power-swings-net-loss-135719221.html
https://finance.yahoo.com/news/capital-power-q4-earnings-call-184714583.html
https://finance.yahoo.com/news/capital-power-tsx-cpx-record-221223961.html
https://www.msn.com/en-us/money/topstocks/capital-power-corporation-declares-cad-0-691-dividend/ar-AA1Pnhec?ocid=finance-verthp-feeds&apiversion=v2&domshim=1&noservercache=1&noservertelemetry=1&batchservertelemetry=1&renderwebcomponents=1&wcseo=1
http://canada.constructconnect.com/joc/news/economic/2026/03/capital-power-ceo-expresses-excitement-about-alberta-data-centre-opportunities
https://www.marketscreener.com/news/capital-power-2025-detailed-facility-table-q4-and-ytd-ce7e5ed2df89f424